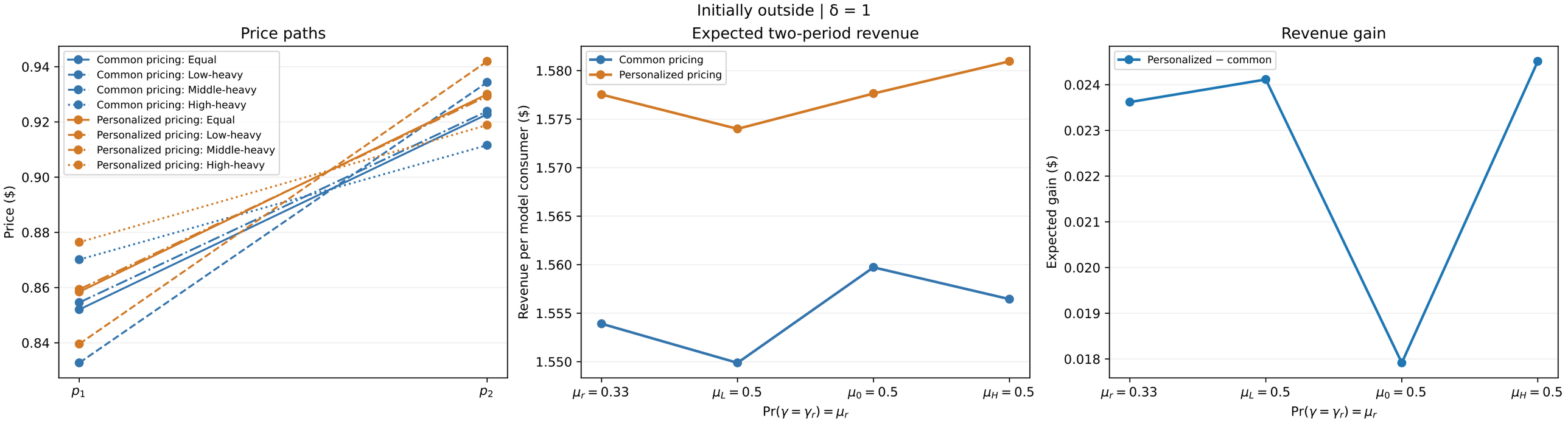
Initially outside | δ = 1
Price paths
Common pricing: Equal
Common pricing: Low-heavy
Common pricing: Middle-heavy
Common pricing: High-heavy
Personalized pricing: Equal
Personalized pricing: Low-heavy
Personalized pricing: Middle-heavy
Personalized pricing: High-heavy
Price ($)
0.94
0.92
0.90
0.88
0.86
0.84
p_1
p_2
Expected two-period revenue
Common pricing
Personalized pricing
Revenue per model consumer ($)
1.580
1.575
1.570
1.565
1.560
1.555
1.550
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$
Revenue gain
Personalized − common
Expected gain ($)
0.024
0.023
0.022
0.021
0.020
0.019
0.018
$\mu_r = 0.33$
$\mu_L = 0.5$
$\mu_0 = 0.5$
$\mu_H = 0.5$
$\Pr(\gamma = \gamma_r) = \mu_r$